

Tempus AI, Inc.

TEM NASDAQ

Buy \$50.56 ▼ 3.36% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32

Market Cap \$9.08B

TEM: Open-Source Pathology Consortium Launch; Reiterate Buy

WHAT'S CHANGED

- TEM launched an Open-Source Digital Pathology Consortium (6/16), extending its AI-applications moat into pathology workflows — strategically reinforces data-network effects but no near-term revenue impact.
- Stock gave back -3.36% to \$50.56 after Friday's +9.4% surge to \$52.32 on 10.2M shares; trading at just 14% of 52-week range with insider selling from CEO Lefkofsky (\$3.2M late-May) offsetting bullish options flow (P/C 0.30).

IMPLICATIONS

The pathology consortium announcement is consistent with TEM's land-and-expand strategy — building open standards positions Tempus as the default data layer across oncology imaging, with monetization downstream via pharma data licensing and clinical decision-support. With the stock 52% off its 52-week high and trading near multi-month support, sentiment is heavily reset following the post-earnings -11% drawdown flagged in early-June commentary, creating asymmetric setup if Q2 print confirms Data segment reacceleration. The defensive sector rotation today (Financials, Utilities, Staples leading) is a headwind for unprofitable growth names like TEM, but bullish options positioning (16K calls vs 4.8K puts) suggests positioning for a near-term bounce.

VALUATION

At \$9.08B market cap on ~\$1.29B FY26E revenue, TEM trades at ~7x EV/Sales — a meaningful discount to high-growth AI healthcare peers (10-15x) reflecting persistent EBITDA losses and Genomics gross margin variability. Our \$68 PT implies ~9x FY27E revenue, justified by accelerating Data & Services ARR (>\$1B remaining performance obligations disclosed prior) and a path to FY27 EBITDA breakeven. Multiple expansion catalyst: durable 30%+ Data segment growth alongside Genomics margin inflection above 45%.

KEY RISKS

- Genomics reimbursement pressure from CMS / commercial payors compressing test-level economics
- Continued CEO/insider selling (3 transactions totaling \$3.2M in late May) signaling tepid near-term outlook
- Capital-intensive growth profile with ongoing cash burn; equity raise risk if AI healthcare sentiment cools

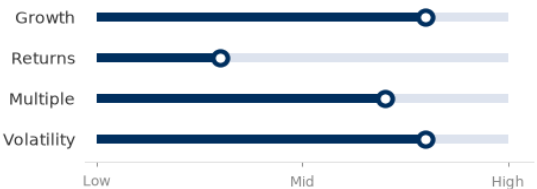
RECENT NEWS

Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium Insider Monkey · 2026-06-16 12:52

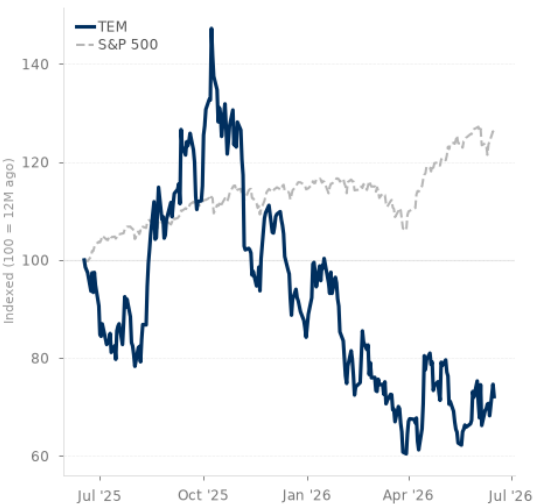
Key Data

Price (USD)	\$50.56
12M Price Target	\$68.00
Upside / (Downside)	+34.5%
Market Cap	\$9.08B
FY2026E Revenue	\$1,290M
FY2027E Revenue	\$1,640M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.10)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



TEM — Tempus AI, Inc. | June 16, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$58.00	\$51.00	\$44.00
6 Months	\$72.00	\$60.00	\$40.00
1 Year	\$92.00	\$68.00	\$35.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$220.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Financials, Materials

COLD SECTORS: Healthcare (growth/biotech), Consumer Discretionary

ROTATION WATCH: Defensive and cyclical-value leadership today (Financials +1.47%, Utilities +0.72%) signals risk-off positioning into mid-June, pressuring high-multiple unprofitable growth like TEM until rates/AI sentiment re-accelerate.

BYPRODUCT PLAY: AI-in-healthcare data infrastructure beneficiaries — clinical NLP, multi-modal foundation models, and pathology AI vendors (PATH, RXRX, SDGR) likely move together with TEM on consortium-style announcements.

OUTPERFORMERS & PEER CONTEXT

- VEEV (Veeva Systems): profitable healthcare-SaaS comp trading at premium 12-14x sales with consistent 20%+ growth — the "what TEM becomes" template
- RXRX (Recursion Pharma): AI-drug-discovery peer; lower revenue base but similar narrative-driven multiple compression cycle

TEM CONTEXT: TEM is lagging profitable healthcare-tech peers (VEEV, DOCS) but outperforming pre-revenue AI biotech (RXRX, ABSI) YTD. At 14% of 52-week range, TEM is more reset than the cohort, offering better risk/reward into a sentiment turn.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-50 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration below 25% YoY or Data segment ARR contraction

Hedging: Pair short vs richer-multiple AI healthcare peer (e.g., RXRX) or NBI puts